

CONTRACT FILES · SERVICE PLANS

The Service Plan, and what it quietly leaves out

Northwind signed a Service Plan two years ago and assumed it meant that Ventix takes care of the machine. Read the exhibit, then decide ten calls the way Owen Blake would.

Aluno _____

Data _____

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01 · THE EXHIBIT

Read it once without stopping. Then read it again with a pencil.

EXHIBIT B

Conditions Applicable to Service Plans

Attached to and forming part of Service Agreement SA-4471 · Rev. 04

Where this Exhibit conflicts with the Quotation, the Quotation takes precedence.

B.1 Scope of Each Visit

The Quotation states the number of visits per year and the activities to be carried out at each visit. Work that is not on that activity list is quoted separately. After each visit Ventix issues a service report, which must be signed off by a representative of the client. Equipment not named in the Quotation is outside the scope of this Agreement.

B.2 Repairs, Consumables and Standby Air

This Agreement covers inspection and scheduled maintenance. Repairs identified during a visit are recorded in the service report as a recommendation and quoted separately, except where the client holds the Total Responsibility Plan. Operating materials, consumables and spare parts are billed separately as required. Standby air, including the temporary hire of a replacement unit, is not included unless agreed in writing.

B.3 Working Hours, Access and Waiting Time

Visits are carried out during normal working hours, Monday to Friday, 07:30 to 16:00, excluding public holidays. Work performed outside those hours is charged at the overtime rate in force on the date of the visit. Where the technician waits more than thirty minutes for access to the unit, additional hours may be charged. Where access is refused and the visit has to be rescheduled, travel time and mileage are borne by the client.

B.4 Price Adjustments

The annual price is reviewed on completion of each twelve months from the commencement date (the review date). Regardless of the term, and even where the price is stated as fixed, the price is subject to adjustment at any time if a major change occurs in the operating or site conditions of the unit. Major changes include moving the unit, even within the same facility; positioning other equipment so that cooling air intake is affected; electrical changes; and exceeding the estimated annual running hours stated in the Quotation by more than one thousand hours. The price is also subject to adjustment on any addition of service.

B.5 Client Responsibilities

Under all Service Plans the client shall carry out the daily and weekly inspections set out in the instruction manual; use only genuine Ventix parts and approved lubricants; keep the unit within the environmental conditions recommended by Ventix; notify Ventix immediately of any change in operating or site conditions; and provide free and full access to the unit, together with adequate lighting, power and any lifting equipment required, at the client's own cost.

B.6 When Ventix Is Not Obligated to Service

Ventix shall not be obliged to inspect or service the unit where the client has failed to perform its responsibilities under B.5; where a failure results from accidental or wilful damage by the client or a third party, from interruption or fluctuation of electric power, or from introduced contamination; or where the unit has been operated outside specified parameters. In such cases Ventix may still attend the site, and the work is quoted as a repair.

B.7 Overhauls

Where monitoring readings taken by Ventix indicate that an overhaul of the element or main motor is required, the client shall make the unit available. If the client fails to do so, Ventix's obligation to service that unit under this Agreement ceases. The overhaul is quoted separately. Where the Agreement is terminated early after an overhaul has been performed, the client shall pay the list price of the overhaul.

B.8 Term, Renewal and Termination

The initial term is stated in the Quotation. The Agreement renews automatically for successive twelve month periods unless either party gives written notice at least thirty days before the end of the current term. Either party may terminate on thirty days' written notice. Ventix may suspend or terminate with immediate effect where a major change occurs in the operating or site conditions, or where the client commits a continuing breach that is not remedied within thirty days of written notice. On termination the client is entitled to a refund for services already paid for but not performed.

PRICING AND SERVICES SUMMARY

Agreement SA-4471 · Northwind HQ, Building C

Covered equipment	Compressor NW-4471 Refrigerated dryer ND-118
Visits per year	4
Estimated running hours per year	4,000
Rated pressure	100 PSI
Normal working hours	Mon to Fri, 07:30 to 16:00
Overtime rate	1.5 x standard labour
Waiting time charged after	30 minutes
Annual price	USD 9,800
Initial term	24 months from 01 March

PLAN SELECTED

- ☐ Inspection Plan
☐ Parts Plan
☒ **Service Plan**
☐ Extended Warranty+ Plan
☐ Total Responsibility Plan

02 · TEN CALLS, THREE ANSWERS

Included means the plan covers it and nothing is invoiced. Billable means Ventix does the work and charges for it. Not covered means it is not Ventix's responsibility. Tick one box and write the clause number.

CALL 01

Scheduled visit three of four. The technician works through the activity list, replaces the filters named in the Quotation, and Michael Turner signs the service report before he leaves.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 02

Northwind asks for the next visit on a Saturday. The line cannot stop during the week, and Frank Dawson will not release the compressor on a production day.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 03

During a routine visit the technician finds a worn coupling. It is not on the activity list. He records it in the service report as a recommendation.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 04

An electrical contractor working on an unrelated building project damages the compressor control panel. Northwind calls asking Ventix to replace it under the plan.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 05

On a scheduled visit, Northwind asks the technician to also look at the refrigerated dryer, which has been running warm. The dryer appears on the Pricing and Services Summary.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 06

The compressor is down for two days waiting for a part. Production is losing output. Northwind asks Ventix to send a rental unit free of charge, since they pay for a plan.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 07

The technician arrives at the agreed time. The compressor room is locked for a safety audit and he waits fifty minutes before anyone can let him in.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 08

Northwind has hired a new operator. During a scheduled visit, Michael asks the technician to walk him through the controller settings before he leaves.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 09

Monitoring readings taken by Ventix show the airend is due for an overhaul. Northwind agrees and releases the machine for the work.

☐ Included ☐ Billable ☐ Not covered

Clause _____

CALL 10

Between visits, Northwind's own maintenance team tops up the oil using a cheaper lubricant that is not on the approved list. Six weeks later a fault appears in the same system.

☐ Included ☐ Billable ☐ Not covered

Clause _____

03 · DOES THIS TRIGGER A PRICE REVIEW?

Eight situations from Northwind's last year. Clause B.4 allows a review in some of them and not in others.

Situation	Yes	No	Clause
Northwind moves the compressor twenty metres, to the other side of the same building.	☐	☐	
The unit runs 4,600 hours over the year. The Quotation estimated 4,000.	☐	☐	
The following year the unit runs 5,300 hours against the same 4,000 hour estimate.	☐	☐	
A new packaging line is installed beside the compressor, partly blocking the cooling air intake.	☐	☐	
Northwind replaces David Kim with a new procurement manager.	☐	☐	
The agreement reaches the end of its first twelve months.	☐	☐	
Ventix assigns a different technician to the account.	☐	☐	
Northwind adds a second compressor to the same agreement.	☐	☐	

04 · THE COMPETITOR'S OFFER

Michael Turner brings a rival proposal to Alex. Complete Alex's replies using the word bank. Two items are not used.

WORD BANK

at no additional cost	quoted separately	subject to adjustment	outside the scope
running hours	within the scope of	notice period	list price

Michael Turner Northwind	Their offer is a fixed price for three years. No reviews, no adjustments. Yours can change in the middle of the term, and I have to explain that to David.
Alex Morgan Ventix	I understand why a fixed price sounds safer. What I would ask you to check is what sits _____ (1) that fixed price, and what sits _____ (2). Our price is _____ (3) only when the operating conditions change, and every one of those triggers is something your team controls.
Michael Turner Northwind	They also say there is no fine print. Everything is included.
Alex Morgan Ventix	Then I would ask them one question. When the airend needs an overhaul in year two, is that _____ (4), or is it _____ (5)? That is the line that matters, and it is worth getting the answer in writing.
Michael Turner Northwind	And if it does not work out, we can just leave.
Alex Morgan Ventix	So can they, and that cuts both ways. I would look at the _____ (6) on their side. If they can walk away in thirty days, a three-year fixed price only lasts as long as they want it to.

USEFUL LANGUAGE

I understand why that sounds safer.	Entendo por que isso parece mais seguro.
What sits inside that price, and what sits outside it?	O que está dentro desse preço e o que está fora dele?
Then I would ask them one question.	Então eu faria uma pergunta a eles.
That is the line that matters.	Essa é a linha que importa.
It is worth getting that in writing.	Vale a pena conseguir isso por escrito.
That cuts both ways.	Isso vale para os dois lados.

05 · WHAT THE YEAR ACTUALLY COST

Four of the ten calls became an invoice. Write the call number beside each line, add up the column, and compare it with the plan above.

Call	Invoice	Amount
	Saturday visit, overtime rate	USD 640
	Coupling replacement, quoted separately	USD 1,450
	Waiting time, fifty minutes on site	USD 190
	Airend overhaul	USD 7,300
Extras invoiced over twelve months		
	Service Plan, annual price	USD 9,800
Total paid over twelve months		
	Total Responsibility Plan, same unit	USD 17,400

Careful with this argument. An overhaul does not happen every year. Write one sentence explaining why the comparison above can be honest and misleading at the same time.

TALKING POINTS

What makes a service contract feel fair to a client, even when it excludes things?

What is the difference between maintenance and a repair?

What makes a price adjustment clause acceptable rather than suspicious?

What is the difference between saying no and saying not included?

ANSWER KEY · PARA O PROFESSOR

Destaque esta página antes de entregar ao aluno.

02 · Ten Calls | 03 · Price Review

No.	Answer	Clause	Item	Review?	Clause
01	Included	B.1	01	Yes	B.4
02	Billable	B.3	02	No	B.4
03	Billable	B.2	03	Yes	B.4
04	Not covered	B.6	04	Yes	B.4
05	Included	B.1	05	No	
06	Not covered	B.2	06	Yes	B.4
07	Billable	B.3	07	No	
08	Included	B.1	08	Yes	B.4
09	Billable	B.7			
10	Not covered	B.5			

04 · Gap fill

(1) within the scope of, (2) outside the scope, (3) subject to adjustment, (4) at no additional cost, (5) quoted separately, (6) notice period. Não usados: list price, running hours.

05 · Extras log

Calls 02, 03, 07 and 09. Extras USD 9,580. Total paid USD 19,380 against USD 17,400 for the Total Responsibility Plan, a difference of USD 1,980.

A ressalva esperada: o overhaul de USD 7,300 não se repete todo ano. Num ano sem overhaul o Northwind pagaria USD 12,080 e o Service Plan sairia mais barato. O argumento honesto do Alex não é que o outro plano é sempre mais barato, é que o cliente não sabe em qual ano está. Se o aluno usar o número sem essa ressalva, o David Kim derruba na primeira reunião.